

DECODING CUSTOMER VALUE: A SQL-DRIVEN RETENTION STRATEGY

RETENTION PLAYBOOK

Promotional Sunset Plan

Target Segment: High Value, Low Promo Dependency customers — defined as customers with a Customer Value Score in the High tier and a Promo Dependency score below the dataset average (0.03). This segment has demonstrated consistent purchasing behavior independent of discounts, making them the safest group to begin discount reduction without risking volume loss.

Trigger Behavior: A customer qualifies for the sunset plan when they have more than 25 previous purchases and a Promo Dependency score below 0.03 — indicating an established purchase pattern that does not rely on promotional incentives.

Rollout Timeline:

- **Month 1–2:** Convert always-on discounts to time-limited offers, creating urgency without fully removing the incentive
- **Month 3–4:** Restrict discounts to low-selling products only, gradually decoupling this segment from blanket promotional activity
- **Month 5–6:** Shift remaining discount activity to payment method incentives (e.g. cashback on specific payment methods), softening the transition
- **Month 7+:** Fully sunset discounts for this segment

Trade-off: A small subset of this segment may have habitual discount-checking behavior that isn't captured by purchase data alone. Removing discounts too quickly could trigger disengagement in these edge cases.

Metrics to Track:

- Average Purchase Amount per customer in this segment — should remain stable or increase
- Purchase Frequency — any significant drop signals the phase should be paused and reviewed

Ideal Customer Profile

A high-value customer who purchases frequently across Clothing and Accessories categories without relying on promotional discounts. They have a purchase history exceeding 25 orders, a Customer Value Score in the High tier (0.8–1.0), and a Promo Dependency score below 0.03. Their Behavioral Loyalty Score exceeds 0.8, indicating sustained engagement driven by genuine brand affinity rather than discount incentives.

For targeting: Acquire customers who mirror this profile — high frequency buyers in Clothing and Accessories, active across Summer, Winter, and Fall seasons, located in low-dependency states. Prioritize channels that attract organic traffic over discount-driven acquisition, as this segment has proven it does not need promotional nudges to convert.

Trade-off: Targeting only this profile risks limiting acquisition volume. A balanced strategy acquires broadly but nurtures toward this profile over time.